T-12 OPERATING STATEMENT

Sterling Whitaker Marketplace | Cincinnati, OH

Property	Sterling Whitaker Marketplace
Period Ending	January 5, 2026
Basis	Accrual - Trailing 12 Months
Prepared By	Cobblestone Property Co.
Size	247,000 SF

Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4000 Gross Potential Rent	624,467	615,254	641,874	624,047	623,851	630,210	627,567	626,822	619,610	692,252	654,909	628,268	7,609,131
4010 Loss to Lease	420,190	405,475	399,770	428,231	421,454	424,444	432,100	437,133	397,380	433,615	399,081	448,993	5,047,864
4020 Vacancy Loss	378,852	341,871	341,107	344,812	366,135	351,189	389,165	344,796	367,583	382,386	378,707	362,307	4,348,912
4030 Concessions	121,465	122,205	120,323	128,131	121,859	117,994	119,341	119,978	125,325	118,720	129,634	118,353	1,463,328
4040 Bad Debt	293,301	263,789	269,455	264,506	298,137	283,251	263,890	270,911	261,883	296,791	266,580	291,945	3,324,441
4050 Late Fees	151,044	138,532	150,047	147,894	152,848	141,508	150,623	148,818	147,245	150,966	155,732	156,336	1,791,594
4060 Utility Reimbursements	462,471	464,737	446,844	484,316	456,485	472,321	482,900	481,385	498,576	492,542	467,570	440,112	5,650,259
4070 Parking Income	135,020	123,769	120,870	126,795	124,905	135,655	118,640	135,230	119,436	122,134	134,471	123,466	1,520,389
4080 Application Fees	441,076	419,619	444,339	444,277	407,709	421,353	420,394	440,801	421,500	443,711	444,484	440,792	5,190,054
4090 Pet Rent	111,066	102,448	108,592	101,530	111,094	109,583	107,328	97,259	99,165	101,090	100,748	105,062	1,254,965
4100 Laundry Income	71,190	71,190	72,949	66,217	67,365	65,348	68,591	67,283	66,391	64,731	66,726	64,356	812,337
4110 Cable/Internet Revenue	291,291	289,043	284,047	275,987	269,199	261,894	293,125	285,076	285,984	281,191	261,692	274,179	3,352,707
4120 CAM Reimbursements	399,997	391,417	418,638	396,617	434,958	422,598	413,631	434,277	411,403	414,685	441,179	438,048	5,017,448
4130 Tax Reimbursements	595,394	559,588	533,209	559,817	604,085	549,826	589,271	570,049	564,058	530,995	553,155	530,301	6,739,748
4140 Insurance Reimbursemen	597,566	575,375	539,033	548,595	544,048	564,358	553,605	571,173	563,725	568,960	548,486	543,382	6,718,306
4150 Percentage Rent	553,545	558,741	541,451	541,128	557,385	508,781	554,301	565,736	557,813	523,822	568,582	569,336	6,600,622
4160 Misc. Income	22,407	21,858	21,264	22,280	23,710	22,293	23,752	22,982	21,417	21,134	21,328	22,629	267,053
4170 Payroll - Management	19,403	20,618	19,078	20,077	19,011	20,602	18,749	19,141	19,051	19,369	19,818	18,286	233,203
4180 Payroll - Leasing	66,391	64,917	66,038	67,469	66,802	61,121	65,251	64,757	64,577	65,526	62,347	65,752	780,948
4190 Payroll - Maintenance	45,168	49,255	45,801	44,237	49,608	48,336	46,756	46,094	44,267	44,168	44,921	47,287	555,898
4200 Payroll Taxes & Benefits	24,016	25,864	24,630	25,915	25,732	25,495	25,402	24,892	25,792	25,815	24,339	24,861	302,753
4210 Repairs - Plumbing	7,082	6,976	7,229	7,572	7,060	7,336	7,666	7,594	7,613	7,215	7,645	6,897	87,885
4220 Repairs - HVAC	26,745	26,887	27,067	28,875	27,397	26,644	30,074	29,847	29,192	29,508	29,357	27,864	339,456
4230 Repairs - Electrical	18,990	16,697	18,986	17,423	17,943	17,855	18,916	17,896	18,507	18,373	17,720	16,927	216,234

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4470 Property Insurance	39,310	40,693	38,513	40,648	39,494	38,359	37,535	39,166	36,577	38,887	38,009	39,948	467,139
4480 Real Estate Taxes	72,941	71,167	67,175	74,688	73,544	74,064	74,516	72,132	69,065	69,255	69,468	68,757	856,770
4490 Asset Management Fee	9,202	10,376	10,371	9,850	10,096	9,929	9,951	9,771	9,219	9,451	9,148	9,655	117,018
4500 Replacement Reserves	42,898	45,497	47,251	44,066	47,561	46,778	44,637	48,938	46,968	45,901	46,575	48,941	556,011
4510 Roof Repairs	32,120	33,129	33,484	33,555	34,724	35,182	32,904	31,952	32,002	32,791	35,496	32,979	400,318
4520 Parking Lot Repairs	65,712	71,692	64,466	64,224	72,652	69,469	73,193	72,107	64,755	70,386	66,374	70,466	825,496
4530 Signage	78,943	81,622	80,673	80,384	77,181	77,160	83,156	78,931	77,454	82,726	78,547	79,479	956,257
4540 Tenant Improvements	60,357	58,229	59,935	65,054	63,621	60,987	61,607	58,266	59,184	62,819	57,513	56,851	724,422
4550 Leasing Commissions	39,612	41,990	39,825	43,757	41,307	43,279	43,232	40,749	39,593	44,152	42,334	40,775	500,605
4000 Gross Potential Rent	623,705	702,814	640,090	652,475	676,131	669,448	694,235	629,115	661,160	627,229	619,080	698,652	7,894,136
4010 Loss to Lease	482,575	439,133	474,084	461,345	491,487	489,479	439,692	476,808	473,261	432,698	437,278	455,304	5,553,143
4020 Vacancy Loss	139,841	123,542	129,131	133,246	141,101	141,371	132,028	124,474	137,557	137,280	135,915	137,179	1,612,665
4030 Concessions	470,907	473,198	466,924	440,708	446,086	482,824	478,083	449,342	464,666	469,897	450,993	500,329	5,593,957
4040 Bad Debt	49,474	50,407	46,425	49,517	49,412	49,196	48,973	50,289	44,469	48,748	48,420	46,934	582,262
4050 Late Fees	580,263	593,257	626,451	606,161	619,924	554,972	557,565	594,891	572,342	576,526	574,943	583,869	7,041,163
4060 Utility Reimbursements	87,257	96,371	88,091	97,401	95,758	95,331	95,809	96,694	97,455	94,952	87,553	88,207	1,120,878
4070 Parking Income	432,832	403,340	418,970	398,711	438,209	438,946	438,992	429,553	399,469	390,746	436,354	387,499	5,013,622
4080 Application Fees	553,442	526,313	522,082	496,569	484,569	529,368	523,068	494,204	529,950	542,869	501,442	524,614	6,228,490
4090 Pet Rent	254,367	254,619	265,783	245,246	264,447	255,403	250,183	243,169	252,123	260,338	238,494	235,551	3,019,723
4100 Laundry Income	233,167	230,864	240,857	238,942	235,714	242,076	228,576	229,004	241,211	229,715	248,648	246,956	2,845,731
4110 Cable/Internet Revenue	437,098	425,702	428,187	454,315	402,733	419,278	448,324	423,544	440,760	411,233	455,231	406,282	5,152,686
4120 CAM Reimbursements	243,516	277,168	274,016	246,145	268,896	257,332	254,406	241,979	261,501	264,097	262,623	264,271	3,115,949
4130 Tax Reimbursements	47,331	43,421	43,874	48,084	46,013	46,620	49,288	44,998	48,860	48,427	44,946	45,135	556,998
4140 Insurance Reimbursemen	213,303	211,801	200,511	213,217	218,300	209,109	209,769	210,821	191,420	210,979	214,829	213,533	2,517,592
4150 Percentage Rent	262,658	265,776	251,040	272,760	250,847	258,325	241,291	253,751	259,516	251,559	246,320	268,631	3,082,475
4160 Misc. Income	262,754	260,475	260,603	235,438	237,235	255,409	250,708	245,905	245,254	251,043	250,653	236,551	2,992,026
4170 Payroll - Management	36,433	39,159	39,552	39,909	36,983	36,623	37,309	39,836	37,157	38,881	38,402	37,291	457,533
4180 Payroll - Leasing	49,023	50,037	49,030	50,089	50,665	45,553	48,080	46,472	49,225	50,556	47,476	48,686	584,893
4190 Payroll - Maintenance	57,152	52,233	55,001	53,612	52,364	58,921	57,144	57,149	58,168	53,267	56,387	55,406	666,802
4200 Payroll Taxes & Benefits	63,582	70,624	67,073	68,802	68,388	66,639	66,536	64,324	67,049	62,364	70,856	63,456	799,694
4210 Repairs - Plumbing	43,200	44,937	43,713	41,173	44,925	41,265	45,694	40,391	43,348	44,418	41,772	42,847	517,682
4220 Repairs - HVAC	80,998	75,698	74,639	74,418	75,410	80,265	75,064	81,282	74,316	73,896	78,407	80,031	924,425
4230 Repairs - Electrical	53,498	55,290	51,006	54,180	51,895	53,738	49,027	54,182	53,723	49,405	55,061	55,018	636,024
4240 Repairs - Appliances	51,887	46,775	52,788	51,055	48,177	47,814	52,796	51,796	49,044	48,219	53,315	49,887	603,552
4250 Painting & Decorating	27,833	28,446	28,279	30,737	31,849	29,592	30,954	29,973	27,847	30,717	29,276	31,160	356,662
4260 Flooring	61,667	69,857	61,570	68,261	63,177	64,218	68,147	67,837	64,688	62,553	61,994	63,170	777,138
4270 Make-Ready / Turnover	73,253	70,568	69,958	65,951	65,185	70,670	69,932	71,156	70,180	64,692	68,468	70,600	830,612
4280 Landscaping Contract	16,587	16,780	15,583	15,000	15,247	15,022	16,233	15,892	16,563	16,305	15,054	15,760	190,026
4290 Snow Removal	31,837	33,204	30,439	29,894	29,949	32,908	31,037	30,328	30,312	31,689	31,589	32,228	375,414
4300 Janitorial	64,844	70,037	67,150	65,935	64,374	63,931	63,709	64,183	63,619	70,401	64,280	62,100	784,563
4310 Pest Control	44,558	42,028	44,429	43,227	41,476	46,703	41,399	45,110	43,029	44,933	41,644	45,542	524,077
4320 Trash Removal	72,914	71,272	71,187	71,532	76,223	70,658	76,600	75,064	69,049	70,786	74,789	73,041	873,115
4330 Elevator Contract	28,275	27,937	25,021	27,210	27,730	27,394	26,857	27,468	25,007	26,330	28,277	27,874	325,380
4340 Fire & Life Safety	31,724	30,195	31,284	29,830	33,781	32,821	31,839	30,399	30,613	30,046	29,932	32,142	374,606
4350 Security	39,864	40,889	39,986	43,091	40,748	43,269	42,525	40,149	40,333	38,511	41,252	41,610	492,227
4360 Electricity - Common	64,244	65,489	64,234	59,957	63,425	65,931	60,858	64,610	63,301	60,017	64,034	62,884	758,985
4370 Gas - Common	49,711	50,293	47,329	52,408	50,240	48,294	47,111	48,162	51,109	47,391	47,144	51,851	591,043

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Financial Analysis

Debt service coverage ratio was 5.84x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $341,000, representing a 11.2% increase over the prior year. Operating expenses totaled $417,000 or approximately 33.59 per square foot, with real estate taxes representing the largest line item. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

Net operating income is projected to grow at a compound annual rate of 4.8% over the hold period. The going-in capitalization rate of 5.48% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $265,000 or approximately 27.91 per square foot, with real estate taxes representing the largest line item. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

Leasing and Marketing

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Collections for the period were 95.1% of billed charges, with bad debt of 3.5% of gross potential income. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

Collections for the period were 96.1% of billed charges, with bad debt of 4.8% of gross potential income. Average rent is $18 per square foot with parking at a ratio of 36 spaces per 1,000 square feet. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 11 additional team members. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Financial Analysis

Operating expenses totaled $127,000 or approximately 26.75 per square foot, with real estate taxes representing the largest line item. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Debt service coverage ratio was 6.75x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 4.0% over the hold period.

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Average rent is $18 per square foot with parking at a ratio of 21 spaces per 1,000 square feet. Debt service coverage ratio was 7.62x on a trailing basis against a covenant minimum of 1.20x. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The going-in capitalization rate of 5.02% reflects the in-place income and the stabilized occupancy assumption.

Leasing and Marketing

Service requests are tracked through a work-order system with an average completion time of 41 hours. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The manager completes a monthly walk of the property and submits a variance report to the owner by the 45th business day. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 23 additional team members. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 22 additional team members. Service requests are tracked through a work-order system with an average completion time of 22 hours.

Financial Analysis

Management fees are calculated at 6.9% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $116,000, representing a 12.2% increase over the prior year. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

Operating expenses totaled $90,000 or approximately 9.00 per square foot, with real estate taxes representing the largest line item. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Management fees are calculated at 7.6% of collected revenue and are included in operating expenses. Debt service coverage ratio was 6.04x on a trailing basis against a covenant minimum of 1.20x.

Leasing and Marketing

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Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4340 Fire & Life Safety	44,528	46,178	47,184	43,290	44,658	46,803	43,692	46,907	47,667	42,640	45,281	43,811	542,638
4350 Security	51,569	53,400	50,662	53,514	52,686	47,870	53,228	51,558	52,489	51,496	54,373	48,615	621,460
4360 Electricity - Common	10,306	10,621	10,723	9,582	10,072	9,812	9,524	10,552	10,177	10,237	10,787	9,700	122,093
4370 Gas - Common	23,559	27,043	26,620	25,835	25,069	26,234	25,044	25,367	26,811	24,273	26,103	26,373	308,331
4380 Water & Sewer	29,134	29,059	30,575	28,574	30,418	29,908	28,691	29,159	27,959	30,304	28,942	30,508	353,230
4390 Telephone/Internet	35,298	33,641	37,609	35,059	37,365	32,959	34,079	35,109	36,533	35,738	32,912	33,709	420,011
4400 Advertising	35,950	35,211	31,427	35,402	34,490	32,419	33,275	31,927	35,557	35,512	34,407	35,254	410,831
4410 Resident Events	38,396	41,199	38,066	36,611	40,705	37,102	38,272	40,906	36,953	40,426	40,249	36,426	465,311
4420 Office Supplies	31,732	31,381	33,474	35,597	32,567	32,031	34,360	32,230	34,798	35,139	32,473	34,212	399,993
4430 Legal & Professional	60,377	61,767	61,974	60,276	59,304	60,879	66,552	59,087	63,643	65,074	64,858	60,991	744,780
4440 Accounting & Audit	43,561	39,291	42,836	40,583	41,339	42,453	42,688	41,782	43,017	39,955	38,701	40,392	496,596
4450 Licenses & Permits	80,907	77,520	74,643	72,111	80,326	82,418	76,740	72,307	75,237	80,394	75,070	74,621	922,293
4460 Management Fee	58,305	60,243	56,842	61,913	60,635	60,283	56,497	57,578	55,432	59,580	56,769	60,665	704,741
4470 Property Insurance	25,333	27,939	27,619	26,771	25,279	26,885	26,300	25,024	26,663	25,173	25,882	27,381	316,249
4480 Real Estate Taxes	17,551	17,481	16,295	17,099	17,192	16,469	16,973	16,519	17,264	17,487	16,476	16,192	202,997
4490 Asset Management Fee	37,894	38,998	36,388	40,474	40,084	37,171	40,222	37,231	39,945	37,458	39,044	38,101	463,011
4500 Replacement Reserves	39,276	37,913	40,031	38,605	42,086	38,781	42,827	42,710	37,570	40,476	40,730	39,673	480,680
4510 Roof Repairs	54,040	50,184	52,913	48,857	49,502	51,674	50,553	52,283	51,769	55,505	49,943	52,000	619,225
4520 Parking Lot Repairs	32,761	32,896	34,631	35,118	37,507	34,466	37,432	36,739	33,793	33,711	36,134	35,508	420,697
4530 Signage	68,337	70,051	70,032	66,149	62,998	63,454	62,592	70,503	68,888	69,884	67,510	67,975	808,374
4540 Tenant Improvements	73,446	71,481	75,099	75,383	70,625	74,140	73,194	69,702	71,282	71,371	69,560	68,961	864,244
4550 Leasing Commissions	18,897	18,699	18,384	17,545	17,656	18,199	17,615	17,796	17,184	18,851	18,359	18,900	218,084
4000 Gross Potential Rent	689,304	652,965	688,825	636,889	617,389	620,122	616,986	690,950	639,356	629,717	680,505	653,464	7,816,473
4010 Loss to Lease	208,659	216,688	221,984	219,108	216,073	205,568	207,454	223,499	216,801	224,875	211,844	211,210	2,583,762
4020 Vacancy Loss	539,299	547,472	507,539	506,074	518,859	500,434	558,886	557,928	491,534	500,439	527,110	538,049	6,293,622
4030 Concessions	545,915	527,361	522,188	488,400	551,176	551,071	530,811	516,048	485,574	524,437	512,206	555,378	6,310,563
4040 Bad Debt	554,581	563,662	597,176	570,214	528,182	574,199	551,844	537,440	569,810	576,533	528,782	527,202	6,679,626
4050 Late Fees	279,689	273,160	291,975	285,444	258,257	280,400	262,493	271,034	276,398	267,746	293,653	290,671	3,330,920
4060 Utility Reimbursements	128,143	135,838	128,800	135,264	142,213	138,005	142,098	136,339	125,928	128,079	140,257	142,125	1,623,090
4070 Parking Income	187,060	185,195	175,673	175,520	183,341	188,455	186,699	172,307	168,386	167,407	183,946	169,600	2,143,589
4080 Application Fees	446,111	498,202	505,907	486,054	443,157	467,523	503,226	442,383	501,476	461,040	472,203	505,366	5,732,649
4090 Pet Rent	285,965	285,746	278,836	274,590	284,650	279,616	303,581	280,090	293,262	306,799	295,219	297,705	3,466,059
4100 Laundry Income	256,713	259,819	238,419	242,183	242,148	249,858	240,549	270,697	256,163	237,809	261,425	270,435	3,026,219
4110 Cable/Internet Revenue	296,129	279,253	286,628	296,810	277,015	305,550	284,322	272,084	278,260	285,854	279,015	301,695	3,442,617
4120 CAM Reimbursements	194,474	193,103	208,994	185,720	182,430	207,049	192,500	182,741	194,846	189,301	205,314	198,413	2,334,885
4130 Tax Reimbursements	401,540	395,250	400,787	364,929	414,063	384,487	382,436	384,842	398,247	411,567	381,781	378,142	4,698,072
4140 Insurance Reimbursemen	475,679	468,534	488,716	479,491	501,616	459,928	513,929	472,856	510,094	480,521	514,686	467,467	5,833,517
4150 Percentage Rent	243,996	248,672	274,207	255,481	270,186	252,771	244,748	265,948	252,163	242,409	246,737	253,373	3,050,692
4160 Misc. Income	9,578	9,184	9,613	9,719	9,369	8,908	8,814	9,507	9,776	9,714	9,555	8,941	112,678
4170 Payroll - Management	28,274	28,181	29,974	30,125	30,479	27,797	28,775	27,306	26,957	30,422	27,049	30,373	345,712
4180 Payroll - Leasing	55,870	61,359	61,524	60,474	58,114	59,363	54,476	59,059	59,299	60,858	57,864	55,722	703,983
4190 Payroll - Maintenance	57,886	57,847	61,395	61,586	63,075	62,102	60,254	58,003	57,801	59,854	59,568	58,776	718,148
4200 Payroll Taxes & Benefits	78,289	76,578	78,856	83,669	75,968	76,044	75,788	79,526	83,506	73,375	83,372	77,057	942,029
4210 Repairs - Plumbing	32,573	31,975	31,450	30,803	33,587	34,076	34,254	34,299	34,019	31,149	32,335	30,276	390,794
4220 Repairs - HVAC	41,251	43,283	44,991	44,617	41,439	44,492	45,518	42,871	41,375	41,464	45,919	43,719	520,941

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Operating Performance

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Average rent is $18 per square foot with parking at a ratio of 23 spaces per 1,000 square feet. Management fees are calculated at 7.6% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 6.7% over the hold period. Debt service coverage ratio was 6.66x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 8.10% reflects the in-place income and the stabilized occupancy assumption.

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Net operating income is projected to grow at a compound annual rate of 4.1% over the hold period. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The going-in capitalization rate of 7.56% reflects the in-place income and the stabilized occupancy assumption.

Leasing and Marketing

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Average rent is $18 per square foot with parking at a ratio of 15 spaces per 1,000 square feet. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Average rent is $18 per square foot with parking at a ratio of 5 spaces per 1,000 square feet. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Operating Performance

Average rent is $18 per square foot with parking at a ratio of 25 spaces per 1,000 square feet. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Management fees are calculated at 7.5% of collected revenue and are included in operating expenses.

Net operating income is projected to grow at a compound annual rate of 6.0% over the hold period. Operating expenses totaled $161,000 or approximately 34.22 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $238,000, representing a 7.3% increase over the prior year. Management fees are calculated at 6.3% of collected revenue and are included in operating expenses. Debt service coverage ratio was 7.10x on a trailing basis against a covenant minimum of 1.20x.

Leasing and Marketing

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Service requests are tracked through a work-order system with an average completion time of 13 hours. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 15 additional team members. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Collections for the period were 89.6% of billed charges, with bad debt of 3.7% of gross potential income.

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Average rent is $18 per square foot with parking at a ratio of 45 spaces per 1,000 square feet. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The manager completes a monthly walk of the property and submits a variance report to the owner by the 37th business day.

Valuation Discussion

Average rent is $18 per square foot with parking at a ratio of 19 spaces per 1,000 square feet. Operating expenses totaled $307,000 or approximately 24.23 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 3.9% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 5.0% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $332,000, representing a 12.2% increase over the prior year.

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4200 Payroll Taxes & Benefits	16,645	17,009	16,369	17,142	17,636	17,233	16,372	17,078	17,169	15,644	17,757	16,963	203,016
4210 Repairs - Plumbing	23,631	25,072	24,905	24,372	23,585	23,813	23,476	25,556	25,427	24,359	23,714	26,594	294,504
4220 Repairs - HVAC	27,943	29,200	26,864	28,403	29,479	27,467	28,656	28,241	29,101	26,756	29,473	26,558	338,141
4230 Repairs - Electrical	44,781	44,432	44,026	39,727	42,454	42,130	41,576	39,632	39,479	44,121	43,374	44,735	510,466
4240 Repairs - Appliances	12,825	14,484	12,891	13,625	14,001	13,841	13,378	13,503	13,611	13,791	14,495	13,693	164,137
4250 Painting & Decorating	60,437	61,040	59,436	56,616	58,747	56,078	60,466	59,902	61,779	61,655	57,135	58,983	712,274
4260 Flooring	8,859	8,747	9,016	8,304	8,355	8,939	8,444	8,897	8,543	8,279	8,443	8,271	103,097
4270 Make-Ready / Turnover	79,093	77,771	71,059	73,387	78,098	77,423	80,293	71,809	75,685	70,344	76,817	75,660	907,438
4280 Landscaping Contract	66,681	66,528	72,814	68,307	72,360	74,456	69,145	73,835	67,131	74,055	73,983	69,052	848,347
4290 Snow Removal	44,660	45,192	43,845	39,647	45,344	39,496	43,729	42,134	41,700	43,622	40,176	44,364	513,909
4300 Janitorial	69,363	76,085	71,386	71,561	78,547	76,106	70,188	75,126	78,650	76,047	79,297	73,177	895,531
4310 Pest Control	46,844	41,612	42,252	41,809	45,984	44,498	41,777	46,235	45,745	44,235	41,055	46,190	528,236
4320 Trash Removal	24,989	24,177	25,807	24,859	22,793	23,685	25,818	24,466	24,935	23,600	23,448	24,525	293,103
4330 Elevator Contract	44,678	44,108	40,061	42,000	45,449	41,980	43,950	41,163	43,739	41,519	40,874	41,076	510,598
4340 Fire & Life Safety	51,380	49,131	52,342	53,719	52,180	53,588	49,623	53,786	52,107	50,361	49,544	47,720	615,482
4350 Security	26,141	25,680	25,214	23,288	23,046	23,619	26,401	23,838	23,910	25,273	26,395	24,619	297,421
4360 Electricity - Common	24,826	27,866	27,111	25,712	27,868	26,839	26,864	28,141	26,505	26,741	28,215	24,913	321,602
4370 Gas - Common	35,572	33,020	32,224	34,007	35,743	35,457	31,527	35,137	35,789	32,425	35,008	35,396	411,304
4380 Water & Sewer	67,748	73,801	71,094	75,676	66,329	71,474	75,408	72,563	74,094	74,124	69,056	75,800	867,167
4390 Telephone/Internet	47,941	48,028	47,096	46,667	47,105	50,655	51,402	50,563	50,238	47,790	49,034	46,369	582,889
4400 Advertising	35,164	35,959	35,560	37,787	34,920	35,129	36,936	38,716	36,885	33,991	34,779	37,775	433,601
4410 Resident Events	18,975	16,876	17,198	17,173	18,993	18,872	16,719	16,747	17,272	18,032	17,019	17,787	211,664
4420 Office Supplies	51,447	54,853	50,487	51,537	51,524	54,106	49,083	49,554	54,575	54,085	51,606	53,162	626,020
4430 Legal & Professional	59,581	66,678	61,930	61,600	62,553	65,806	60,117	61,427	65,766	61,714	65,999	62,645	755,817
4440 Accounting & Audit	54,382	59,143	57,394	56,682	53,021	56,795	58,048	56,624	56,044	57,146	52,800	53,822	671,901
4450 Licenses & Permits	8,014	8,457	8,172	8,730	8,765	7,989	8,484	8,811	8,677	8,011	7,796	7,835	99,742
4460 Management Fee	47,207	42,795	43,685	44,926	43,718	42,932	44,039	42,374	44,868	44,832	42,761	42,751	526,887
4470 Property Insurance	46,417	47,858	45,855	42,515	45,224	44,883	48,260	42,158	48,264	47,853	45,405	43,688	548,379
4480 Real Estate Taxes	38,223	39,085	38,744	34,337	36,198	34,333	38,993	34,846	36,052	35,810	34,336	36,986	437,945
4490 Asset Management Fee	24,880	22,952	24,249	23,055	23,103	22,991	23,110	22,408	24,214	25,375	25,324	23,100	284,763
4500 Replacement Reserves	9,071	9,089	8,992	9,708	9,348	8,953	9,290	9,504	8,982	9,781	9,090	9,961	111,769
4510 Roof Repairs	8,280	8,125	9,074	8,409	8,173	8,654	8,337	8,439	8,438	8,459	8,224	8,248	100,861
4520 Parking Lot Repairs	38,193	39,445	38,202	36,496	35,504	36,743	37,266	39,442	38,550	36,820	38,065	35,165	449,890
4530 Signage	29,077	30,667	28,278	30,264	31,388	28,755	28,917	29,455	28,478	29,692	30,711	29,106	354,788
4540 Tenant Improvements	55,960	55,477	51,958	51,616	54,905	56,756	50,295	55,218	49,626	50,706	53,474	53,128	639,121
4550 Leasing Commissions	20,213	20,572	20,571	20,105	19,601	21,682	20,396	21,663	21,710	21,496	20,577	19,257	247,843
4000 Gross Potential Rent	703,071	625,011	672,801	678,570	637,472	621,300	643,332	693,039	660,775	650,111	694,332	622,982	7,902,797
4010 Loss to Lease	119,640	117,892	127,993	119,657	130,472	125,786	118,963	130,680	123,053	115,289	130,446	119,098	1,478,970
4020 Vacancy Loss	18,847	18,063	17,636	18,537	17,271	17,429	18,593	16,953	18,768	18,746	17,512	17,266	215,621
4030 Concessions	565,151	522,868	566,154	580,961	596,041	574,602	566,617	574,832	594,178	573,453	556,431	535,869	6,807,156
4040 Bad Debt	211,077	214,437	215,674	224,456	196,423	204,143	203,082	216,102	219,638	224,536	207,863	204,497	2,541,928
4050 Late Fees	259,846	259,299	247,539	261,767	252,224	245,124	238,846	250,723	244,245	245,540	249,412	242,511	2,997,077
4060 Utility Reimbursements	236,415	248,154	245,779	253,616	253,996	243,427	241,280	252,861	261,803	240,706	230,835	237,597	2,946,470
4070 Parking Income	114,156	119,235	120,822	120,806	108,538	113,938	112,267	112,928	120,693	124,396	109,261	120,263	1,397,303

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Valuation Discussion

Debt service coverage ratio was 6.50x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 7.46% reflects the in-place income and the stabilized occupancy assumption. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Operating expenses totaled $151,000 or approximately 17.04 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 6.7% of collected revenue and are included in operating expenses. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Property Operations

Collections for the period were 95.8% of billed charges, with bad debt of 4.6% of gross potential income. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Average rent is $18 per square foot with parking at a ratio of 44 spaces per 1,000 square feet. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Service requests are tracked through a work-order system with an average completion time of 3 hours. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The manager completes a monthly walk of the property and submits a variance report to the owner by the 5th business day.

Financial Analysis

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 5.33% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 7.4% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $38,000, representing a 7.3% increase over the prior year. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

Operating expenses totaled $442,000 or approximately 45.46 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 5.59% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 7.22x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 5.2% over the hold period. Management fees are calculated at 3.8% of collected revenue and are included in operating expenses.

Leasing and Marketing

Collections for the period were 95.9% of billed charges, with bad debt of 5.0% of gross potential income. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 36 additional team members. The manager completes a monthly walk of the property and submits a variance report to the owner by the 40th business day. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Service requests are tracked through a work-order system with an average completion time of 8 hours. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 44 additional team members. Collections for the period were 92.2% of billed charges, with bad debt of 6.4% of gross potential income.

Financial Analysis

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Average rent is $18 per square foot with parking at a ratio of 7 spaces per 1,000 square feet. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4120 CAM Reimbursements	182,322	203,553	194,609	186,932	195,151	195,780	207,206	195,417	200,137	190,286	182,988	198,442	2,332,824
4130 Tax Reimbursements	266,125	279,095	266,364	261,500	276,482	285,917	272,437	264,165	264,312	279,604	276,579	268,730	3,261,311
4140 Insurance Reimbursemen	82,968	85,648	91,478	89,835	82,463	88,484	87,436	83,125	83,176	91,472	85,827	82,010	1,033,922
4150 Percentage Rent	590,322	542,299	546,180	614,172	598,922	610,133	592,514	601,772	555,198	612,926	590,875	562,789	7,018,103
4160 Misc. Income	328,825	334,807	348,265	370,825	361,935	364,794	360,757	357,868	331,464	366,148	352,381	364,456	4,242,526
4170 Payroll - Management	58,111	56,915	52,934	54,383	59,452	53,537	57,179	54,664	54,946	53,700	54,936	53,253	664,010
4180 Payroll - Leasing	28,575	28,904	26,612	28,163	27,601	29,036	29,466	29,742	29,248	26,903	26,869	28,292	339,411
4190 Payroll - Maintenance	27,243	25,540	26,643	24,455	27,209	24,653	26,842	26,018	26,077	24,607	24,639	25,298	309,223
4200 Payroll Taxes & Benefits	64,283	62,930	65,558	64,433	62,516	64,323	68,379	61,743	59,806	61,170	62,685	66,408	764,233
4210 Repairs - Plumbing	32,438	30,515	31,379	32,387	31,323	32,955	34,086	33,080	30,421	32,888	33,569	32,065	387,104
4220 Repairs - HVAC	27,016	27,275	27,189	27,585	28,958	27,722	29,446	26,352	29,025	29,411	27,795	28,070	335,843
4230 Repairs - Electrical	17,526	17,623	16,572	17,096	17,722	16,328	16,267	16,034	16,236	16,768	17,511	17,210	202,895
4240 Repairs - Appliances	51,313	52,824	48,348	47,944	51,818	52,811	47,878	50,479	49,812	48,511	49,182	53,346	604,264
4250 Painting & Decorating	71,156	72,841	71,292	76,300	78,900	71,364	76,628	71,735	77,399	76,578	76,595	69,978	890,766
4260 Flooring	51,103	51,562	46,335	51,859	51,356	48,982	51,593	51,974	49,820	52,076	46,955	51,322	604,938
4270 Make-Ready / Turnover	18,067	17,079	16,867	17,711	16,379	16,965	17,174	18,191	16,686	16,515	16,235	17,060	204,931
4280 Landscaping Contract	48,880	52,427	47,619	47,512	50,167	49,619	49,331	46,808	51,362	47,515	47,673	48,587	587,503
4290 Snow Removal	51,476	53,440	52,987	55,868	55,765	51,902	55,154	53,134	52,543	49,411	53,965	51,427	637,073
4300 Janitorial	56,471	58,548	54,624	54,346	55,859	55,214	58,152	54,764	55,837	53,725	59,960	58,891	676,392
4310 Pest Control	29,036	26,208	27,814	29,519	26,394	27,264	29,069	27,034	26,318	27,744	26,793	28,473	331,666
4320 Trash Removal	71,148	76,524	76,766	70,209	72,114	76,324	74,267	76,654	69,172	71,328	76,161	67,094	877,763
4330 Elevator Contract	14,048	13,616	12,843	14,219	13,982	13,252	12,594	12,945	13,713	13,292	13,739	12,726	160,970
4340 Fire & Life Safety	54,980	50,789	51,800	53,487	50,238	53,191	51,496	53,455	53,224	53,293	50,811	53,479	630,245
4350 Security	39,896	39,492	36,961	40,916	37,082	40,097	38,057	40,779	37,363	39,813	37,687	37,524	465,668
4360 Electricity - Common	52,174	52,076	53,012	52,375	56,915	53,751	51,050	52,785	52,400	51,449	57,797	57,256	643,041
4370 Gas - Common	33,632	33,087	31,848	31,272	34,065	35,181	33,474	32,529	31,869	34,425	32,082	34,664	398,127
4380 Water & Sewer	36,894	35,879	38,722	35,923	36,571	38,039	35,526	39,319	37,896	36,132	38,402	34,834	444,139
4390 Telephone/Internet	49,095	46,259	48,991	42,889	43,331	48,150	43,365	44,283	43,745	47,682	44,332	43,001	545,122
4400 Advertising	41,826	41,698	39,476	43,115	40,567	44,368	40,945	41,836	43,164	39,095	40,803	42,993	499,886
4410 Resident Events	22,862	25,324	24,363	22,927	24,201	24,167	23,102	23,904	23,859	25,677	23,360	24,684	288,430
4420 Office Supplies	22,195	22,623	21,777	20,799	21,819	21,178	20,143	20,274	21,776	20,937	21,540	20,743	255,804
4430 Legal & Professional	42,942	41,699	37,971	42,452	43,218	39,251	41,362	40,927	39,262	40,346	41,838	39,476	490,744
4440 Accounting & Audit	50,333	56,522	52,809	49,551	51,790	53,220	51,253	54,276	51,595	56,253	50,368	53,483	631,453
4450 Licenses & Permits	58,747	57,133	59,726	57,291	53,767	58,808	60,556	59,560	52,974	59,873	60,474	54,459	693,369
4460 Management Fee	46,288	50,017	46,574	46,951	49,004	46,493	48,364	44,797	49,290	47,625	44,757	49,195	569,356
4470 Property Insurance	68,662	70,522	70,728	71,990	68,934	71,575	65,765	70,747	74,506	74,381	69,461	65,884	843,155
4480 Real Estate Taxes	11,360	12,363	11,678	11,730	11,801	11,698	12,081	12,259	11,953	11,882	11,621	11,429	141,855
4490 Asset Management Fee	67,005	65,215	68,809	61,557	61,545	61,683	63,278	65,077	65,952	63,834	65,518	62,230	771,704
4500 Replacement Reserves	24,194	24,405	24,702	24,469	26,461	25,240	27,017	26,771	25,388	24,965	26,001	25,479	305,092
4510 Roof Repairs	51,043	51,974	53,570	54,292	55,378	53,806	54,751	55,735	55,570	51,378	56,334	56,569	650,401
4520 Parking Lot Repairs	72,443	65,365	71,449	67,819	67,381	65,347	65,067	69,531	71,366	70,737	64,061	68,969	819,534
4530 Signage	49,140	47,021	47,707	47,102	52,683	50,643	48,124	51,889	46,323	50,262	49,268	50,676	590,837
4540 Tenant Improvements	30,949	30,893	29,024	31,919	29,811	30,372	29,249	31,130	28,905	28,248	31,617	28,547	360,664
4550 Leasing Commissions	8,717	8,739	8,746	9,054	9,879	9,897	9,862	8,846	8,995	9,371	9,009	8,737	109,853
4000 Gross Potential Rent	649,491	670,256	682,482	702,896	675,586	655,331	654,673	694,658	686,174	625,129	681,615	690,760	8,069,051

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Operating Performance

Management fees are calculated at 6.0% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Effective gross income for the trailing period was $241,000, representing a 11.4% increase over the prior year.

Operating expenses totaled $394,000 or approximately 11.96 per square foot, with real estate taxes representing the largest line item. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. The going-in capitalization rate of 7.56% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 5.97x on a trailing basis against a covenant minimum of 1.20x.

Leasing and Marketing

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Average rent is $18 per square foot with parking at a ratio of 24 spaces per 1,000 square feet. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The manager completes a monthly walk of the property and submits a variance report to the owner by the 8th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Valuation Discussion

The going-in capitalization rate of 6.76% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Average rent is $18 per square foot with parking at a ratio of 28 spaces per 1,000 square feet. Management fees are calculated at 7.7% of collected revenue and are included in operating expenses.

Effective gross income for the trailing period was $407,000, representing a 3.9% increase over the prior year. Debt service coverage ratio was 7.55x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $240,000 or approximately 13.47 per square foot, with real estate taxes representing the largest line item. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

Management Commentary

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Average rent is $18 per square foot with parking at a ratio of 19 spaces per 1,000 square feet. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 21 additional team members. The manager completes a monthly walk of the property and submits a variance report to the owner by the 30th business day.

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 27 additional team members. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Financial Analysis

Debt service coverage ratio was 5.66x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 7.2% over the hold period. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Management fees are calculated at 4.5% of collected revenue and are included in operating expenses.

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4060 Utility Reimbursements	264,328	278,631	271,580	298,261	270,655	269,130	276,661	270,856	264,568	275,081	296,395	271,767	3,307,913
4070 Parking Income	568,370	578,540	568,890	579,685	542,740	528,864	586,370	536,802	560,224	539,111	529,273	559,149	6,678,019
4080 Application Fees	430,755	487,004	434,550	435,943	449,189	457,543	444,796	477,479	457,590	446,016	465,844	427,810	5,414,521
4090 Pet Rent	510,042	509,951	494,412	486,378	450,375	459,219	472,179	504,100	491,036	508,090	462,328	501,674	5,849,784
4100 Laundry Income	74,717	73,523	76,388	76,726	72,309	72,048	68,517	71,724	73,654	74,833	71,098	67,611	873,147
4110 Cable/Internet Revenue	506,889	544,448	541,498	513,134	505,457	546,998	526,991	548,998	557,357	525,061	564,688	507,691	6,389,210
4120 CAM Reimbursements	509,897	505,006	482,729	457,139	499,633	477,079	483,816	487,596	496,386	511,580	479,419	496,564	5,886,844
4130 Tax Reimbursements	73,718	74,562	79,130	69,070	76,065	78,525	71,337	78,713	69,949	70,854	72,852	75,501	890,274
4140 Insurance Reimbursemen	364,542	322,336	333,210	343,307	367,217	335,917	331,536	332,923	350,554	366,974	351,509	321,674	4,121,698
4150 Percentage Rent	382,531	425,110	398,805	406,859	401,351	372,954	422,694	403,001	405,044	375,512	387,749	417,942	4,799,553
4160 Misc. Income	437,729	432,158	425,390	431,523	436,054	440,427	465,189	426,275	448,272	431,181	414,164	448,882	5,237,243
4170 Payroll - Management	49,217	51,961	48,260	47,587	51,416	47,303	51,259	47,433	48,999	48,532	49,639	52,643	594,251
4180 Payroll - Leasing	39,243	36,949	38,191	39,928	39,883	38,828	36,356	39,713	37,089	36,093	38,424	40,347	461,043
4190 Payroll - Maintenance	13,591	12,423	12,712	13,171	12,606	12,260	12,197	13,238	13,164	12,811	13,290	13,142	154,606
4200 Payroll Taxes & Benefits	21,542	19,550	21,721	19,654	21,380	20,558	20,998	21,421	19,879	19,818	21,955	21,517	249,992
4210 Repairs - Plumbing	18,266	18,586	18,637	16,852	18,048	17,835	18,920	18,640	17,411	18,778	17,775	18,663	218,411
4220 Repairs - HVAC	28,346	27,078	25,312	28,405	26,232	27,652	25,587	27,117	27,799	26,653	26,350	28,527	325,058
4230 Repairs - Electrical	72,357	68,658	71,355	70,500	70,114	72,306	70,881	73,579	71,810	68,370	73,045	70,293	853,269
4240 Repairs - Appliances	67,830	70,347	66,748	66,071	64,183	67,854	63,011	71,025	64,709	63,327	62,493	68,952	796,550
4250 Painting & Decorating	62,994	64,919	66,049	66,477	61,558	61,161	67,138	64,247	62,061	61,146	66,695	62,774	767,220
4260 Flooring	61,881	56,137	60,636	57,878	61,920	60,672	55,281	61,503	60,779	55,806	58,210	60,325	711,027
4270 Make-Ready / Turnover	80,301	74,713	79,069	81,655	77,331	78,328	74,379	79,164	74,041	77,136	76,378	78,193	930,688
4280 Landscaping Contract	29,697	32,001	31,844	29,419	29,672	29,814	32,131	30,835	32,655	31,849	32,519	31,110	373,545
4290 Snow Removal	25,981	26,588	25,203	27,238	27,425	25,011	27,677	25,081	26,227	27,243	27,558	26,962	318,193
4300 Janitorial	32,230	32,260	31,259	32,428	32,224	33,230	31,376	32,058	34,964	32,486	32,931	34,601	392,046
4310 Pest Control	10,042	10,367	9,904	10,724	10,329	11,017	11,054	10,666	10,890	11,016	9,990	10,113	126,111
4320 Trash Removal	17,091	16,634	17,234	17,036	17,278	16,368	18,203	17,967	18,087	17,950	16,085	16,411	206,344
4330 Elevator Contract	14,191	14,146	14,110	15,078	15,208	14,943	14,395	14,665	13,390	13,545	14,152	13,918	171,741
4340 Fire & Life Safety	10,941	10,046	10,824	11,065	11,221	10,236	10,173	10,969	10,702	11,002	11,219	9,934	128,332
4350 Security	61,932	65,628	63,621	59,323	60,102	66,759	60,280	65,550	61,209	62,693	66,491	63,030	756,619
4360 Electricity - Common	13,518	14,053	15,102	13,894	14,519	15,362	14,974	15,107	13,558	14,482	13,940	13,891	172,399
4370 Gas - Common	40,153	37,225	36,555	37,838	37,478	36,793	36,708	38,775	37,444	41,020	40,364	37,113	457,467
4380 Water & Sewer	59,072	59,487	55,226	58,460	57,067	61,525	58,504	58,731	54,413	60,764	59,888	56,390	699,528
4390 Telephone/Internet	13,481	13,911	12,404	13,206	14,014	13,145	12,796	14,170	13,041	12,776	13,235	12,740	158,920
4400 Advertising	11,650	11,517	11,898	11,388	10,615	12,153	10,874	11,171	11,722	10,581	11,762	11,907	137,236
4410 Resident Events	62,124	61,840	63,703	66,625	60,442	66,997	62,070	60,892	63,937	66,229	64,517	61,637	761,014
4420 Office Supplies	36,295	33,534	36,056	34,468	35,261	35,643	37,395	33,251	33,153	34,573	34,377	34,486	418,491
4430 Legal & Professional	70,582	64,790	70,243	68,129	66,479	64,810	69,941	68,467	67,057	64,062	70,995	63,131	808,686
4440 Accounting & Audit	63,557	62,625	59,483	64,594	63,290	58,978	61,971	62,959	61,410	63,626	65,092	59,172	746,758
4450 Licenses & Permits	55,461	56,134	62,138	58,584	58,654	61,635	61,960	59,603	59,797	56,298	58,124	57,000	705,391
4460 Management Fee	36,222	33,334	34,859	32,180	35,448	33,732	35,525	36,305	33,536	33,415	32,528	35,268	412,350
4470 Property Insurance	72,433	70,998	68,972	67,955	67,347	69,206	66,528	69,403	70,809	70,035	72,929	68,717	835,332
4480 Real Estate Taxes	25,750	26,102	24,503	26,181	26,358	25,777	26,608	26,588	27,534	25,503	24,071	26,713	311,688
4490 Asset Management Fee	28,248	25,621	26,947	26,051	25,629	27,067	28,251	28,295	25,031	25,548	25,957	27,555	320,201
4500 Replacement Reserves	63,941	64,693	67,573	68,276	66,197	70,784	63,840	65,057	64,528	61,687	65,783	70,826	793,185
4510 Roof Repairs	76,492	78,058	72,259	76,532	81,594	77,381	72,954	77,477	79,774	71,552	78,439	73,133	915,646

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Financial Analysis

Effective gross income for the trailing period was $377,000, representing a 13.6% increase over the prior year. Average rent is $18 per square foot with parking at a ratio of 21 spaces per 1,000 square feet. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The going-in capitalization rate of 7.36% reflects the in-place income and the stabilized occupancy assumption.

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Operating expenses totaled $431,000 or approximately 38.53 per square foot, with real estate taxes representing the largest line item. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Net operating income is projected to grow at a compound annual rate of 5.7% over the hold period. Effective gross income for the trailing period was $278,000, representing a 8.7% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Management Commentary

Service requests are tracked through a work-order system with an average completion time of 28 hours. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 39 additional team members. Collections for the period were 93.8% of billed charges, with bad debt of 3.9% of gross potential income. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

Average rent is $18 per square foot with parking at a ratio of 31 spaces per 1,000 square feet. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Collections for the period were 94.1% of billed charges, with bad debt of 6.7% of gross potential income. Service requests are tracked through a work-order system with an average completion time of 40 hours. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

Operating Performance

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Management fees are calculated at 3.2% of collected revenue and are included in operating expenses. Debt service coverage ratio was 5.58x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $220,000, representing a 2.5% increase over the prior year.

Average rent is $18 per square foot with parking at a ratio of 35 spaces per 1,000 square feet. Effective gross income for the trailing period was $311,000, representing a 8.8% increase over the prior year. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Debt service coverage ratio was 7.77x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 4.7% of collected revenue and are included in operating expenses.

Leasing and Marketing

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Collections for the period were 94.9% of billed charges, with bad debt of 3.2% of gross potential income. Service requests are tracked through a work-order system with an average completion time of 12 hours. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Service requests are tracked through a work-order system with an average completion time of 47 hours. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 20 additional team members.

Income and Expense Review

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Net operating income is projected to grow at a compound annual rate of 4.3% over the hold period. Operating expenses totaled $209,000 or approximately 34.87 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4520 Parking Lot Repairs	27,529	25,723	25,897	27,126	26,817	26,301	27,504	26,512	27,864	26,615	25,676	27,339	320,904
4530 Signage	78,462	78,040	80,921	82,278	73,640	72,289	80,962	76,039	74,883	78,691	77,552	75,445	929,201
4540 Tenant Improvements	21,082	21,754	21,426	21,528	21,752	23,891	21,937	22,523	23,018	21,764	21,234	24,015	265,924
4550 Leasing Commissions	28,213	30,274	27,507	27,950	28,042	27,738	28,044	26,900	27,992	29,013	29,200	26,479	337,352
4000 Gross Potential Rent	640,042	646,952	664,640	682,279	697,388	703,412	640,136	622,456	657,352	669,058	651,611	680,581	7,955,908
4010 Loss to Lease	447,070	426,287	422,497	459,562	471,976	433,854	427,383	446,813	469,133	418,495	443,903	427,054	5,294,028
4020 Vacancy Loss	73,228	68,940	68,372	78,473	76,335	78,069	74,659	74,266	71,433	71,791	74,654	73,677	883,898
4030 Concessions	399,488	383,889	397,019	403,070	384,719	390,236	400,231	398,827	436,625	434,614	385,009	388,678	4,802,406
4040 Bad Debt	394,771	447,083	440,905	411,007	410,210	403,843	406,331	413,651	398,308	428,805	433,959	397,400	4,986,273
4050 Late Fees	32,310	29,769	29,403	29,135	30,626	30,647	29,206	30,948	31,386	30,666	30,486	32,672	367,255
4060 Utility Reimbursements	265,513	265,690	248,080	260,610	244,332	246,099	248,639	247,872	255,540	249,138	268,859	260,082	3,060,452
4070 Parking Income	83,248	82,893	87,643	85,471	86,710	88,264	83,581	83,757	83,725	86,282	87,850	87,119	1,026,545
4080 Application Fees	61,259	63,954	60,853	62,127	69,266	62,792	60,808	65,282	61,467	62,746	63,433	65,784	759,772
4090 Pet Rent	157,634	163,310	160,454	153,772	158,485	155,596	155,933	169,735	157,811	152,074	150,430	169,188	1,904,423
4100 Laundry Income	540,846	542,002	578,202	566,271	534,625	509,665	521,883	546,299	515,798	539,198	529,778	534,708	6,459,277
4110 Cable/Internet Revenue	391,471	389,875	392,802	407,748	386,907	392,886	408,367	368,617	390,339	414,882	394,433	422,436	4,760,763
4120 CAM Reimbursements	283,941	295,507	290,783	293,575	303,214	301,317	297,437	291,246	312,625	280,836	308,591	281,269	3,540,341
4130 Tax Reimbursements	39,586	42,817	41,013	42,576	41,856	39,576	42,223	43,281	40,312	40,317	39,335	42,971	495,862
4140 Insurance Reimbursemen	93,433	84,757	88,177	89,582	90,617	93,829	83,900	89,403	85,162	82,353	87,664	83,720	1,052,596
4150 Percentage Rent	361,849	328,978	332,006	353,909	353,233	361,374	363,482	344,185	364,146	349,912	370,563	348,420	4,232,055
4160 Misc. Income	25,700	28,117	25,721	27,071	26,563	28,062	24,741	24,955	25,126	25,707	27,990	25,117	314,871
4170 Payroll - Management	61,071	57,969	62,211	58,764	60,713	58,558	62,950	61,630	59,402	56,569	62,599	56,336	718,773
4180 Payroll - Leasing	30,155	31,982	29,972	31,447	30,800	33,634	30,859	31,040	33,424	29,379	31,469	30,842	375,003
4190 Payroll - Maintenance	61,793	66,195	65,283	67,680	65,533	63,480	66,166	64,391	69,313	64,446	67,993	68,842	791,114
4200 Payroll Taxes & Benefits	24,894	23,597	24,183	24,306	22,179	24,592	25,149	23,260	22,242	24,047	24,797	25,160	288,406
4210 Repairs - Plumbing	17,422	17,630	17,961	17,904	16,457	17,889	17,612	16,094	16,114	17,146	16,147	17,899	206,276
4220 Repairs - HVAC	18,993	20,650	19,579	20,482	20,267	18,888	19,395	19,479	19,251	20,642	18,130	20,016	235,771
4230 Repairs - Electrical	42,684	40,002	39,094	39,864	41,393	40,513	43,976	41,764	41,566	40,229	42,073	42,079	495,237
4240 Repairs - Appliances	59,210	57,237	63,543	59,688	59,411	56,916	59,076	60,974	63,814	58,985	60,690	60,961	720,505
4250 Painting & Decorating	73,743	73,246	72,517	78,750	76,558	76,069	74,183	79,803	77,154	77,431	74,084	78,444	911,985
4260 Flooring	54,719	57,380	58,730	55,041	54,527	56,740	56,712	59,365	58,977	58,715	61,951	58,647	691,502
4270 Make-Ready / Turnover	7,114	6,960	6,694	6,959	6,578	6,445	6,702	6,775	6,424	6,948	6,596	7,163	81,357
4280 Landscaping Contract	38,570	34,461	34,257	34,626	36,394	38,783	37,865	35,614	35,125	34,874	36,802	37,159	434,529
4290 Snow Removal	61,227	56,927	63,270	63,991	59,952	59,902	60,247	58,061	58,218	63,687	59,879	61,580	726,940
4300 Janitorial	54,221	53,957	51,493	50,665	53,942	53,686	53,504	51,093	47,785	50,297	47,522	52,372	620,536
4310 Pest Control	32,057	32,427	29,510	30,776	32,610	31,837	33,391	32,842	31,489	30,019	31,260	32,242	380,459
4320 Trash Removal	45,195	43,823	43,719	43,486	43,426	42,071	41,160	41,507	41,053	42,330	45,378	42,374	515,521
4330 Elevator Contract	73,215	66,111	69,052	71,776	66,096	66,581	65,486	66,608	67,491	71,111	70,522	71,447	825,498
4340 Fire & Life Safety	48,929	48,644	47,586	47,398	48,797	48,185	47,021	47,159	47,628	46,636	49,583	47,550	575,116
4350 Security	39,241	36,920	36,249	36,072	35,573	39,973	37,884	37,584	37,641	38,970	37,965	36,207	450,279
4360 Electricity - Common	24,946	25,722	26,341	24,721	24,159	24,106	24,058	24,768	25,366	25,190	25,224	24,348	298,947
4370 Gas - Common	15,686	16,562	17,106	15,830	17,093	16,985	17,098	16,680	16,356	15,079	15,658	16,191	196,324
4380 Water & Sewer	75,708	69,470	71,825	72,135	67,003	66,070	71,440	75,007	72,415	68,175	69,096	69,864	848,207
4390 Telephone/Internet	72,512	78,922	80,711	81,452	79,601	75,004	74,936	71,225	72,169	75,670	73,728	73,429	909,359
4400 Advertising	78,024	75,133	72,666	75,854	78,858	73,326	77,652	69,940	72,908	72,498	72,552	70,725	890,136
4410 Resident Events	36,224	36,163	37,013	38,256	39,663	36,457	38,997	38,219	39,501	41,459	37,332	37,406	456,689

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Financial Analysis

Debt service coverage ratio was 7.92x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 4.4% over the hold period. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Average rent is $18 per square foot with parking at a ratio of 33 spaces per 1,000 square feet. The going-in capitalization rate of 7.37% reflects the in-place income and the stabilized occupancy assumption. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

Operating expenses totaled $54,000 or approximately 9.54 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 4.8% over the hold period. The going-in capitalization rate of 6.20% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 3.1% of collected revenue and are included in operating expenses. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

Property Operations

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Collections for the period were 91.2% of billed charges, with bad debt of 5.4% of gross potential income. Average rent is $18 per square foot with parking at a ratio of 13 spaces per 1,000 square feet. The manager completes a monthly walk of the property and submits a variance report to the owner by the 45th business day.

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Collections for the period were 93.8% of billed charges, with bad debt of 5.1% of gross potential income. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Average rent is $18 per square foot with parking at a ratio of 46 spaces per 1,000 square feet.

Operating Performance

Management fees are calculated at 5.3% of collected revenue and are included in operating expenses. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Operating expenses totaled $151,000 or approximately 20.90 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 8.11% reflects the in-place income and the stabilized occupancy assumption. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $390,000, representing a 2.1% increase over the prior year. Management fees are calculated at 6.1% of collected revenue and are included in operating expenses.

Property Operations

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 2 additional team members. The manager completes a monthly walk of the property and submits a variance report to the owner by the 22th business day. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 7th business day. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 45 additional team members.

Operating Performance

The going-in capitalization rate of 7.21% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 5.8% of collected revenue and are included in operating expenses. Debt service coverage ratio was 6.63x on a trailing basis against a covenant minimum of 1.20x. Average rent is $18 per square foot with parking at a ratio of 31 spaces per 1,000 square feet. Operating expenses totaled $207,000 or approximately 32.85 per square foot, with real estate taxes representing the largest line item. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4490 Asset Management Fee	29,756	28,952	27,222	29,159	27,297	29,137	26,417	26,520	28,105	27,230	26,459	27,706	333,959
4500 Replacement Reserves	27,362	27,542	25,754	27,185	25,122	27,916	26,015	25,805	25,946	26,059	28,119	27,805	320,629
4510 Roof Repairs	23,803	23,585	22,728	22,675	23,843	23,089	22,091	22,862	22,944	23,326	21,415	22,023	274,384
4520 Parking Lot Repairs	62,740	63,876	64,111	66,473	71,312	65,719	67,106	65,308	65,490	66,928	64,157	64,394	787,614
4530 Signage	60,620	55,355	54,341	59,182	58,172	60,188	54,559	61,534	61,692	56,217	60,719	55,134	697,714
4540 Tenant Improvements	33,391	29,396	31,500	29,678	30,210	32,947	32,953	30,359	31,699	33,586	31,676	29,423	376,818
4550 Leasing Commissions	47,842	52,232	51,622	48,192	47,242	50,579	49,548	47,453	50,472	48,106	53,679	48,957	595,925
4000 Gross Potential Rent	626,945	644,965	695,548	636,662	634,469	660,462	668,578	634,751	625,698	635,698	706,349	677,827	7,847,950
4010 Loss to Lease	467,874	419,830	441,614	418,036	467,420	456,151	421,333	458,017	468,799	454,719	433,483	459,823	5,367,100
4020 Vacancy Loss	270,438	262,033	272,596	283,030	260,585	284,106	266,171	272,831	280,224	277,078	273,681	272,033	3,274,806
4030 Concessions	404,166	387,372	404,170	366,838	401,695	402,636	386,123	380,451	399,747	408,602	379,046	384,631	4,705,477
4040 Bad Debt	111,129	99,550	101,357	103,866	111,227	100,758	106,510	97,446	108,621	102,205	101,314	110,885	1,254,869
4050 Late Fees	160,688	176,522	176,179	171,261	155,253	167,438	177,692	157,436	162,210	174,664	168,113	166,966	2,014,422
4060 Utility Reimbursements	61,497	54,046	58,922	59,389	54,359	57,292	59,647	60,926	59,738	57,886	59,485	61,128	704,315
4070 Parking Income	499,102	526,980	497,761	498,497	530,763	527,428	523,603	509,684	533,001	556,254	496,666	516,113	6,215,852
4080 Application Fees	506,191	471,340	489,188	511,387	506,479	461,278	505,538	458,899	516,572	474,696	464,972	504,296	5,870,837
4090 Pet Rent	584,671	560,342	529,545	577,500	536,223	562,298	589,354	576,404	536,828	562,402	580,905	592,811	6,789,283
4100 Laundry Income	235,492	213,876	225,737	210,718	223,910	215,001	234,047	228,475	215,618	217,697	224,110	235,065	2,679,745
4110 Cable/Internet Revenue	245,916	244,331	256,778	251,393	233,900	251,626	245,149	248,004	229,373	225,392	225,771	251,527	2,909,160
4120 CAM Reimbursements	568,872	542,800	585,128	593,356	554,197	563,096	522,743	569,174	570,120	548,357	581,140	573,926	6,772,908
4130 Tax Reimbursements	437,780	469,587	449,923	456,554	481,210	445,350	482,534	468,806	435,245	471,980	468,799	442,140	5,509,909
4140 Insurance Reimbursemen	385,895	390,993	435,518	400,275	424,501	423,384	405,511	419,288	428,197	397,316	430,802	405,455	4,947,136
4150 Percentage Rent	157,666	153,760	153,544	162,807	159,166	150,144	156,011	157,830	164,093	152,317	157,068	147,216	1,871,623
4160 Misc. Income	450,098	411,840	421,246	430,420	431,011	401,292	446,683	452,059	426,185	401,910	434,596	403,904	5,111,244
4170 Payroll - Management	34,899	34,174	33,578	36,928	33,745	35,886	33,850	33,797	37,063	35,024	35,773	33,034	417,751
4180 Payroll - Leasing	58,743	59,903	59,914	56,109	58,807	58,038	57,918	60,742	59,520	54,576	60,065	55,543	699,878
4190 Payroll - Maintenance	20,699	19,961	19,908	21,042	21,878	21,375	21,377	21,298	19,400	21,784	19,206	19,241	247,170
4200 Payroll Taxes & Benefits	23,585	23,787	21,960	22,812	22,500	22,764	21,596	21,266	23,944	21,747	21,489	22,558	270,009
4210 Repairs - Plumbing	47,541	44,437	46,280	44,867	46,994	48,650	47,909	46,987	43,960	50,036	44,297	46,548	558,506
4220 Repairs - HVAC	70,933	74,873	67,436	66,563	70,378	74,959	71,880	65,929	66,539	71,206	68,414	70,560	839,668
4230 Repairs - Electrical	23,533	25,609	24,918	24,230	25,425	22,916	24,144	24,800	26,098	24,845	25,701	23,012	295,229
4240 Repairs - Appliances	33,221	31,548	33,551	30,815	31,589	30,474	32,175	31,541	32,848	34,581	31,366	32,309	386,018
4250 Painting & Decorating	53,931	49,470	51,007	56,547	52,222	55,352	54,524	54,012	56,209	49,970	54,300	55,218	642,761
4260 Flooring	24,591	26,369	27,422	26,329	27,345	25,444	24,973	25,049	26,663	25,459	24,372	25,370	309,386
4270 Make-Ready / Turnover	78,149	79,743	80,440	78,343	79,755	74,615	78,845	79,878	79,015	75,954	76,328	83,717	944,782
4280 Landscaping Contract	50,192	48,333	47,948	50,361	44,752	49,068	49,409	47,862	49,308	45,292	43,826	44,026	570,378
4290 Snow Removal	25,352	23,571	25,755	24,760	24,505	25,050	23,780	26,751	23,639	23,803	24,562	26,105	297,632
4300 Janitorial	43,867	43,874	38,342	43,941	43,023	43,369	41,288	43,604	41,029	43,379	38,373	43,991	508,081
4310 Pest Control	14,084	15,560	14,803	15,310	14,847	14,761	14,670	14,344	15,518	16,013	15,384	14,935	180,229
4320 Trash Removal	34,126	34,574	32,958	35,977	32,443	32,626	33,783	34,593	33,329	36,410	36,678	36,937	414,434
4330 Elevator Contract	41,235	42,596	40,798	38,479	39,591	43,828	41,917	43,404	39,360	40,992	40,715	39,442	492,359
4340 Fire & Life Safety	12,921	14,476	13,170	14,188	13,267	13,224	13,220	13,647	14,265	14,501	13,080	14,128	164,088
4350 Security	27,296	27,284	27,021	25,338	25,748	26,265	26,732	24,502	27,726	24,446	26,617	26,441	315,417
4360 Electricity - Common	12,233	11,259	12,730	11,953	12,407	11,329	11,656	12,595	12,270	12,070	12,194	12,171	144,867
4370 Gas - Common	57,700	61,417	63,215	56,564	59,143	57,486	60,535	59,864	57,787	61,124	56,314	58,015	709,165
4380 Water & Sewer	73,151	83,899	73,648	83,801	78,937	79,617	75,183	83,820	81,211	81,286	76,300	78,856	949,708
4390 Telephone/Internet	24,745	27,251	26,766	25,272	24,054	24,654	24,247	25,815	24,228	27,306	25,790	25,360	305,487

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Operating Performance

The going-in capitalization rate of 6.94% reflects the in-place income and the stabilized occupancy assumption. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Net operating income is projected to grow at a compound annual rate of 5.2% over the hold period. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Debt service coverage ratio was 5.82x on a trailing basis against a covenant minimum of 1.20x.

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Effective gross income for the trailing period was $257,000, representing a 12.8% increase over the prior year. Debt service coverage ratio was 5.07x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 5.0% over the hold period.

Property Operations

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 37 additional team members. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Collections for the period were 93.5% of billed charges, with bad debt of 6.1% of gross potential income. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Average rent is $18 per square foot with parking at a ratio of 36 spaces per 1,000 square feet. Collections for the period were 90.8% of billed charges, with bad debt of 7.5% of gross potential income. Service requests are tracked through a work-order system with an average completion time of 16 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 14 additional team members.

Operating Performance

Management fees are calculated at 4.4% of collected revenue and are included in operating expenses. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Average rent is $18 per square foot with parking at a ratio of 28 spaces per 1,000 square feet. Net operating income is projected to grow at a compound annual rate of 5.0% over the hold period.

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 7.46x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $173,000 or approximately 15.41 per square foot, with real estate taxes representing the largest line item. Average rent is $18 per square foot with parking at a ratio of 9 spaces per 1,000 square feet.

Management Commentary

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Average rent is $18 per square foot with parking at a ratio of 18 spaces per 1,000 square feet. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Service requests are tracked through a work-order system with an average completion time of 35 hours. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The manager completes a monthly walk of the property and submits a variance report to the owner by the 9th business day.

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 24 additional team members. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Average rent is $18 per square foot with parking at a ratio of 5 spaces per 1,000 square feet. The manager completes a monthly walk of the property and submits a variance report to the owner by the 14th business day. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

Income and Expense Review

Debt service coverage ratio was 5.85x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $10,000, representing a 4.1% increase over the prior year. Operating expenses totaled $458,000 or approximately 22.48 per square foot, with real estate taxes representing the largest line item. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

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